



Corporate Tax Preparation Checklist

Introduction

Preparing a corporate tax return requires accurate financial records, proper documentation, and a clear understanding of your corporation's tax obligations.

This checklist helps Canadian corporations organize the information needed for year-end tax preparation, improve communication with their accountant, and reduce the risk of missing important details.

1. Corporate Information

- ☐ Confirm corporate information:
 - Legal corporation name
 - Business Number (BN)
 - Corporate tax year-end date
 - Fiscal period
 - Registered office information
- ☐ Provide:
 - Previous year corporate tax return
 - Notice of Assessment (NOA)
 - CRA correspondence

2. Financial Statements and Accounting Records

- ☐ Prepare year-end financial information:
 - Balance sheet
 - Income statement
 - Trial balance
 - General ledger
 - Chart of accounts
- ☐ Review:
 - Revenue accounts
 - Expense accounts
 - Asset balances
 - Liability accounts
 - Equity accounts
- ☐ Ensure bookkeeping is complete and reconciled before tax preparation.

3. Bank and Credit Card Records

- ☐ Collect:
 - Business bank statements
 - Bank reconciliations
 - Credit card statements
 - Loan statements
 - Lines of credit statements
- ☐ Review:
 - Outstanding transactions
 - Unrecorded deposits
 - Unpaid expenses
 - Financing transactions

4. Revenue and Sales Records

- ☐ Gather:
 - Sales reports
 - Customer invoices
 - Contracts
 - Payment records
- ☐ Verify:
 - All business revenue has been recorded
 - Revenue is reported in the correct fiscal period
 - Outstanding receivables are reviewed

5. Business Expenses

- ☐ Organize expense documentation:
 - Supplier invoices
 - Receipts
 - Expense reports
 - Contracts
 - Subscription records
- ☐ Review common deductible expenses:
 - Advertising
 - Professional fees
 - Office expenses
 - Software subscriptions
 - Insurance
 - Rent
 - Vehicle expenses
 - Travel expenses
 - Interest expenses
- ☐ Ensure personal expenses are separated from business expenses.

6. Payroll Information

- ☐ Provide payroll records:
 - Employee payroll summaries
 - Payroll registers
 - CPP/EI remittance records
 - T4 information
 - T4 summaries
- ☐ Review:
 - Shareholder salaries
 - Management compensation
 - Payroll deductions
 - Outstanding payroll liabilities

7. Shareholder Transactions

- ☐ Review shareholder-related activity:
 - Shareholder loans
 - Personal expenses paid by corporation
 - Dividends paid
 - Salary payments
 - Shareholder contributions
- ☐ Maintain proper documentation for all shareholder transactions.

8. GST/HST Information

- ☐ Gather:
 - GST/HST returns
 - GST/HST working papers
 - Input Tax Credit records
 - GST/HST account statements
- ☐ Confirm:
 - GST/HST filings are up to date
 - Balances agree with accounting records

9. Fixed Assets and Capital Purchases

- ☐ Provide information for:
 - Equipment purchases
 - Vehicles
 - Computers
 - Furniture
 - Buildings
 - Leasehold improvements
- ☐ Include:
 - Purchase invoices
 - Purchase dates
 - Asset details
 - Financing information
- ☐ Review Capital Cost Allowance (CCA) requirements.

10. Corporate Tax Planning Review

- ☐ Review before filing:
 - Profitability
 - Taxable income
 - Available deductions
 - Salary vs dividend considerations
 - Tax instalments
 - Future cash requirements
- ☐ Consider whether additional planning opportunities exist.

11. Investment and Passive Income

- ☐ Provide information about:
 - Corporate investments
 - Interest income
 - Dividends received
 - Capital gains and losses
 - Investment statements
- ☐ Review possible tax implications of investment income.

12. Loans and Financing

- ☐ Gather:
 - Loan agreements
 - Interest statements
 - Financing documents
 - Repayment schedules
- ☐ Verify:
 - Loan balances
 - Interest expenses
 - Related-party loans

13. Year-End Adjustments

- ☐ Review possible adjustments:
 - Accounts receivable
 - Accounts payable
 - Accrued expenses
 - Prepaid expenses
 - Inventory (if applicable)
 - Depreciation
 - Amortization

14. Corporate Tax Filing Requirements

- ☐ Confirm:
 - T2 Corporation Income Tax Return preparation
 - Corporate filing deadline
 - Tax payment deadline
 - CRA account balances
- ☐ Keep copies of:
 - Filed T2 return
 - Financial statements
 - Supporting schedules
 - CRA notices

15. Common Corporate Tax Mistakes

- ☐ Waiting until year-end to organize records
- ☐ Mixing personal and corporate expenses
- ☐ Missing shareholder transactions
- ☐ Not reconciling bank accounts
- ☐ Forgetting GST/HST balances
- ☐ Not planning before the fiscal year-end
- ☐ Claiming expenses without proper documentation

Final Reminder

Good corporate tax preparation starts long before the tax return is filed. Maintaining accurate bookkeeping, reviewing financial performance, and planning ahead can help corporations remain compliant and make better financial decisions.



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